

The company announced earnings in late February, and the following day, F, price reacted to that announcement. Over the next 10 days or so, the stock retraced its gain, forming a bottom at A.

This rise–retrace move is what I believe to be typical for a good earnings announcement (an event pattern). The stock shoots higher then turns downward in a week to 10 days. This one dropped sooner than I would have expected, but it does bottom within the 10-day window.

After that, the smart money grabs hold of the stock and encourages the bulls to buy like crazy, overwhelming selling demand. That leads to a straight-line run up to B where the stock takes a brief rest, like sitting on the summit of Everest. You don't want to stay too long in the dead zone.

We can guess that a rule might be not to trust a V-top within a month (or maybe longer) of better-than-expected earnings. There's too much enthusiasm to force price down in a successful V-top.

Statistics

[Table 71.2](#) shows general statistics for the V-top pattern.

Number found. I located almost 4,000 V-tops in 973 stocks from July 1991 to June 2019. Not all stocks covered the entire period, but they sure are plentiful. Some stocks no longer trade, but it's not the fault of V-tops. I just wanted to make that clear.